



Qualification Programme Examination Panelist's Report

Module 8 – Principles of Auditing (June 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

The multiple choice questions covered the principles of professional ethics, inherent risk, control activities, application of test control procedures, and substantive procedures.

In general, the performance of candidates was satisfactory for questions relating to principles of professional ethics. Candidates' performance was less satisfactory for questions relating to inherent risk, classification of control activities, and application of substantive procedures.

Specific Comments

Candidates showed weaknesses in the following areas:

Inherent risk of misstatement of accounts receivable.

Identification of the relevant classification of control activities.

Application of substantive procedure for completeness assertion of sales revenue.

(II) Section B – Written Questions

General Comments

The written questions covered basic auditing concepts such as auditors' responsibilities, directors' responsibilities, components of control environment, objectives of group audits, code of ethics, terms for an audit engagement, non-compliance with laws and regulations, types of modified opinion, essential elements on qualified opinion, application of auditing concept of risk to real situation, and application of audit approach and substantive procedures.

Candidates did not perform well on some questions regarding basic accounting concepts due to insufficient knowledge of the subject materials. They performed well on some straightforward questions but failed to attempt some other straightforward questions. The topics they did not perform well on included the seven elements of the control environment, objectives of group audit, directors' responsibilities in general, and essential elements on qualified opinion. In addition, many candidates were not able to determine inherent risk as well as the audit approach of specified account balances according to the condition of the audit assignment. Many were also unable to list the



audit procedures when non-compliance with laws and regulations is identified or suspected.

Specific Comments

Question 1(a) – 8 Marks

This question required candidates to list directors' responsibilities in general. Though the question is straightforward, most candidates were only able to suggest a few relevant matters, thus scoring relatively low marks for this question. Very few candidates were able to describe directors' responsibilities in general.

Question 1(b) – 2 Marks

This question required candidates to explain how non-compliance with laws and regulations affect financial statements. Candidate performance was not satisfactory. Most candidates failed to identify the potential fine or penalty regarding non-compliance with laws and regulations. Many candidates misunderstood the question and described how non-compliance with laws and regulations affects the users of the financial statements or the auditors' response to the non-compliance.

Question 1(c) – 5 Marks

This question required candidates to list the audit procedures when non-compliance with laws and regulations is identified or suspected. Candidate performance was not satisfactory. Many candidates failed to answer the question in accordance with HKSA 250 and simply provided generic answers.

Question 1(d) – 7 Marks

This question required candidates to list the seven elements of the control environment. Performance was not satisfactory. Some candidates misunderstood the question and listed elements of internal control or categories of control activities.

Question 2(a) – 4 Marks

This question required candidates to list the terms of the audit engagement. Performance was satisfactory. Many candidates were able to score high marks.

Question 2(b) – 3 Marks

This question required candidates to describe the conceptual approach required by the HKICPA's Code of Ethics. This was a straightforward question, and thus some candidates were able to score full marks. Performance on this question was satisfactory.



Question 2(c) – 3 Marks

This question required candidates to determine the inherent risk of lease liability. Performance was poor. Many candidates did not demonstrate sufficient knowledge of the relevant accounting standard, HKFRS 16, and therefore failed to determine the inherent risk of the lease liability.

Question 2(d) – 3 Marks

This question required candidates to determine the audit approach for lease liability. Most candidates failed to suggest the substantive approach for the account balance, which consists of a small number of transactions. They misinterpreted the question and provided substantive procedures.

Question 2(e) – 3 Marks

This question required candidates to determine the inherent risk of machineries. Most candidates only focused on the cost of machineries without considering the recoverable amount and impairment issues.

Question 2(f) – 3 Marks

This question required candidates to determine the audit approach for machineries. Most candidates were not able to suggest the substantive approach for the account balance, which consists of a small number of transactions. They misinterpreted the question and provided substantive procedures.

Question 2(g) – 3 Marks

This question required candidates to determine the business risk and inherent risk of inventory. Some candidates were not able to discuss the business risk, such as misappropriation of masks or decrease in realisable value due to competitive market environment. These candidates failed to explain in detail the relationship of business risk and inherent risk of inventory.

Question 3(a) – 6 Marks

This question required candidates to explain the objectives of a group audit. Many candidates appear not to have read the question carefully and thus provided irrelevant answers.

Question 3(b) – 4 Marks

This question required candidates to list and explain assertions of accounts receivable. Performance on this question was satisfactory. However, a few candidates mixed up the definitions of different assertions.



Question 3(c) – 8 Marks

This question required candidates to suggest substantive audit procedures to audit accounts receivable. The question was straightforward and, thus, performance was satisfactory. Some candidates failed to state clearly what the procedures are and the purpose of the procedures. These candidates appear to have had trouble understanding the purpose of the procedures and/or did not understand how to carry out the audit procedures.

Question 4(a) – 8 Marks

This question required candidates to list the contents to be included in the auditor's responsibilities section in the auditor's report. Performance on this question was not satisfactory. Most candidates were only able to provide a few relevant points for this question.

Question 4(b) – 4 Marks

Most candidates were able to list the two relevant types of modified opinion and explain the circumstances giving rise to each of the modifications. Performance on this question was satisfactory.

Question 4(c) – 3 Marks

This question required candidates to state an opinion based on the analysis of the case given and the essential elements that would be included in the basis of opinion section. Many candidates were able state an opinion. Some were not able to state essential elements of a qualified opinion.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was satisfactory. Candidate performance was satisfactory on the multiple choice questions. Performance on the written questions was less satisfactory. The candidates demonstrated a lack of understanding of some basic concepts regarding auditing. Similarly, poor performance was exhibited on application of the Auditing and Accounting Standards.

Candidates are advised to put adequate effort into studying the materials before taking this examination.

Candidates are reminded to read the questions carefully and to understand the specific requirements of each question.